OARK LIMITED

OPERATING, TAX, INTELLECTUAL-PROPERTY, AND OWNER-PAYMENT POLICY

Company number: PVT-AAADAM3

Execution draft dated 24 July 2026

Proposed effective date: 1 August 2026

> This is an internal Company policy and decision framework. It does not itself register Oark Limited for a tax, create an employment contract, declare a dividend, prove a director-loan balance, or replace a filing required by law. Complete and adopt it on the true date through the related corporate approval record. Do not backdate records or payments.

1. PURPOSE AND STATUS

1. Oark Limited (**Oark** or the **Company**) commercially operates Blober and ToKnow under the separate Intellectual Property Ownership Confirmation and Non-Exclusive Commercial Licence Agreement between Oark and Charles Njogu Kabui (the **IP Licence**).
2. Charles Njogu Kabui (**Charles**) is represented to be Oark's sole member and sole director. Current registry records and the Company's filed articles must be checked before this policy is adopted.
3. From 1 August 2026, Charles expects Oark to be his primary working occupation and will manage its day-to-day business as executive sole director.
4. A primary occupation is not automatically salaried employment. This policy does not create a contract of service, salary, wage, director's fee, paid leave, pension promise, or other employment benefit.
5. Charles will serve as director without remuneration until a later written member decision lawfully sets remuneration or Oark enters a written contract of service with him.
6. Dividends arise only from Charles's shareholding. Expense reimbursements and director-loan repayments arise only from genuine documented debts. None is promised as consideration for hours worked or services performed.
7. If the actual facts create employment or Oark begins paying remuneration for work, the employment and payroll rules apply regardless of the label used by the Company.
8. Mandatory law, Oark's filed articles, and the IP Licence prevail over this policy where they conflict.

2. ORDINARY OPERATIONS

2.1 Business lines

Oark may conduct the following business in the ordinary course:

1. market, sell, license, host, distribute, update, and support Blober and ToKnow within the IP Licence;
2. contract with customers, payment processors, hosting providers, software vendors, professional advisers, and other suppliers;
3. set and change prices, refunds, customer terms, privacy notices, and product features in compliance with law and the IP Licence;
4. receive all customer revenue into an account held in Oark's name;
5. pay Oark's taxes, refunds, chargebacks, processor fees, hosting, customer support, compliance costs, and other genuine business expenses; and
6. maintain the minimum records required by company, tax, consumer, data-protection, and other applicable law.

2.2 Director authority

As sole director, Charles may carry out an ordinary-course act in clause 2.1 without preparing a separate internal approval for each act, unless Oark's filed articles, the Companies Act, the IP Licence, a provider, or another applicable law specifically requires approval.

The following are not ordinary-course acts and require a dated written decision appropriate to the act:

1. starting or changing a salary, director's fee, bonus, or employment benefit;
2. declaring or paying a dividend;
3. making a loan or advance by Oark to Charles or allowing his director current account to become overdrawn;
4. assigning or selling Intellectual Property Rights;
5. issuing or transferring shares, admitting another member, or changing control;
6. borrowing, granting security, guaranteeing another person's debt, or entering an unusual long-term liability;
7. selling substantially all of Oark's business or assets;
8. changing tax regime or cancelling a tax obligation; and
9. any act for which mandatory law requires member approval, valuation, filing, or another formality.

2.3 Money and accounts

1. Customer money belongs to Oark when received into an Oark bank or merchant account.
2. Oark and Charles shall use separate bank, mobile-money, merchant, and accounting records.
3. A transfer to Charles must be recorded on the date made as exactly one of:
   - `EXPENSE REIMBURSEMENT`;
   - `DIRECTOR LOAN REPAYMENT`;
   - `DIVIDEND`;
   - `NET SALARY` after payroll is activated; or
   - another specifically documented lawful category.
4. A transfer may not be left as an unexplained drawing, suspense item, or informal personal withdrawal.
5. Oark should pay an Oark supplier directly whenever practical. This avoids unnecessary reimbursement entries.

3. INTELLECTUAL PROPERTY AND WORK INSIDE OARK

1. Charles personally owns the Owner Assets and Improvements defined in the IP Licence, subject to disclosed third-party and existing downstream rights.
2. Charles may create, modify, test, deploy, document, market, or support Blober and ToKnow while acting as Oark's director or, if later separately agreed, as its employee, officer, consultant, or contractor.
3. Product Intellectual Property Rights remain Charles's personal property even if the work is done:
   - during time used for Oark;
   - through an Oark email, repository, cloud, vendor, or deployment account;
   - on equipment supplied or paid for by Oark;
   - after instruction or approval by Oark; or
   - while Oark pays Charles salary, remuneration, a reimbursement, or another lawful amount.
4. Clauses 2 and 3 are intended to operate with clause 3.2 of the IP Licence as an express agreement excluding or limiting any deemed transfer to Oark under section 31(1) of the Copyright Act, 2001.
5. No future payment by Oark transfers Product Intellectual Property Rights unless a later written assignment identifies the affected rights and expressly overrides the IP Licence.
6. Oark continues to own its cash, receivables, merchant accounts, contracts, statutory records, accounting records, tax records, customer support records, and other Company Materials. Personal Data is governed by data-protection law and does not become Charles's property.
7. A third party may not contribute proprietary work to a Product unless the required licence or written assignment to Charles is completed before use. This clause has no recurring effect while Charles is the only contributor.

4. TAX OPERATING POSITION

4.1 Turnover Tax objective

Subject to lawful registration and confirmation that its income qualifies, Oark intends to use Turnover Tax (**TOT**) while it remains eligible because it is simpler and is charged on gross turnover rather than taxable profit.

As at 24 July 2026, section 12C of the Income Tax Act provides that TOT generally applies to a resident person's business turnover that is more than KES 1,000,000 and does not exceed or is not expected to exceed KES 25,000,000 in a year. The statutory rate is 1.5% of gross receipts, and the return and payment are due by the twentieth day of the following month.

This policy does not assume that every receipt qualifies. Before relying on TOT, Oark shall confirm its iTax registration and the treatment of its actual software licences, subscriptions, support, content, advertising, consulting, and foreign-customer receipts. Rental income, management or professional or training fees, and income subject to final withholding tax are excluded by section 12C.

4.2 Minimum TOT workflow

While validly registered for TOT, Oark shall:

1. keep one sales record showing date, customer or transaction identifier, gross customer charge, currency, Kenya-shilling value, refund, and eTIMS reference where required;
2. reconcile the sales record to processor settlements and the bank once each month;
3. file one TOT return and pay the tax by the twentieth day of the following month;
4. retain the underlying sales, refund, processor, bank, and eTIMS records for the statutory period; and
5. reassess eligibility only when a trigger in clause 9 occurs.

The IP Licence requires no separate Blober or ToKnow royalty statement, nil statement, invoice, withholding return, or audit.

4.3 VAT and eTIMS

1. Oark shall monitor the statutory VAT threshold and any rule that requires registration regardless of turnover. As at the draft date, KRA states that a TOT taxpayer making taxable supplies must register for VAT when turnover reaches KES 5,000,000.
2. Being below the VAT threshold does not by itself remove eTIMS or lawful sales-invoice duties.
3. Oark shall not register voluntarily for an additional recurring tax obligation without recording why the benefit exceeds the administration cost.
4. If a tax obligation is active on iTax but no longer legally required, Oark may apply to cancel it. Until KRA confirms cancellation, all required returns, including nil returns, must continue.

4.4 Royalty-free licence caution

The IP Licence charges no royalty. That removes royalty invoices, royalty withholding, and personal royalty-income administration. It does not guarantee that KRA will accept a zero arm's-length value. Before relying on the combination of a royalty-free related-party licence and TOT, obtain one current written confirmation from a suitably qualified Kenyan tax adviser or a KRA ruling covering sections 7A, 12C, 18A, and 23 of the Income Tax Act. Until that confirmation is recorded, Oark shall not file its first TOT return under this structure or pay a dividend from profits treated as taxed under TOT. The policy may otherwise be adopted and Oark shall use the tax treatment legally applicable without the unconfirmed TOT position. This is a one-time classification task unless the facts or law change.

5. ORDER FOR PAYING CHARLES

Oark shall use the following order. A later item may be used only when its legal conditions are met; the list does not create an entitlement to payment.

5.1 First: genuine expense reimbursement

Oark may reimburse Charles without treating the amount as salary or a dividend only where:

1. Charles actually paid an expense on Oark's behalf;
2. the expense was wholly for Oark's business and not personal or domestic;
3. the receipt, invoice, or other reliable proof is retained;
4. the record states the date, supplier, amount, currency, business purpose, and Product or general Company category; and

5. Oark reimburses the actual amount without a markup or allowance.

The cost of creating, acquiring, or maintaining an asset that the IP Licence identifies as Charles's personal Owner Asset is not automatically an Oark expense. It must not be reimbursed merely to extract cash. Product operating costs may be paid or reimbursed only where Oark genuinely incurs them for its licensed business and the payment is consistent with the IP Licence.

5.2 Second: repayment of a genuine director loan

Oark may repay principal genuinely owed to Charles before paying a dividend. The opening balance must be reconstructed from evidence as follows:

Director-loan account	KES
Cash transferred by Charles to Oark	
Genuine Oark expenses paid personally by Charles	
Other documented value lent to Oark	
Less amounts already repaid or withdrawn	
Verified balance owed by Oark to Charles	

The balance must not include:

1. an estimate for Charles's unpaid time or labour;
2. personal living costs;
3. the value of Product IP that was never sold to Oark;
4. a personal Owner Asset merely used by Oark;
5. a fabricated, duplicated, or backdated expense; or
6. an amount already reimbursed, deducted, or paid.

Each repayment shall reduce the verified credit balance. Oark may not repay more than the balance. A negative balance is a loan or benefit from Oark to Charles and must not be created under this policy.

5.3 Third: interim dividends from distributable profit

The default owner-return method after genuine debts are repaid is a quarterly interim dividend. Quarterly payment reduces withholding filings while allowing Charles to hold the net amount personally and budget it over the following months.

Before each dividend, the sole director shall complete `oark-interim-dividend-record.md` or an equivalent short decision showing:

1. cash currently available;
2. cumulative realised profit after prior losses, TOT or other income tax, refunds, and expenses;
3. tax, customer, creditor, and operating amounts that must remain in Oark;
4. the dividend proposed;
5. that current profits justify the dividend and Oark can continue paying debts; and
6. the applicable withholding rate and net payment.

A dividend:

1. may not exceed profits lawfully available for distribution;
2. is not a fixed monthly entitlement or substitute label for salary;
3. may not be paid from customer money needed for refunds, tax, debts, or operations;
4. shall be paid to Charles's personal bank account and recorded as `DIVIDEND`;
5. shall have withholding deducted and remitted within the statutory deadline; and
6. shall be supported by the decision, management figures, bank proof, iTax payment, and withholding certificate.

As at 24 July 2026, a qualifying dividend paid to a resident individual is generally subject to 5% final withholding tax, remitted within five working days after deduction. The rate and classification must be checked on each declaration date.

5.4 Fourth: salary only after activation

Oark shall not operate payroll merely to create a regular withdrawal. Salary becomes available only after all of these steps occur:

1. a dated member decision sets the gross salary and start date;
2. Oark and Charles sign a compliant written contract of service if the arrangement is employment;
3. Oark activates or confirms PAYE, NSSF, SHA employer, Affordable Housing Levy, and any other required employer registrations;
4. Oark can fund gross salary, employer contributions, taxes, refunds, and operating costs when due; and
5. a payroll process is tested before the first payment.

Once activated, Oark must use the rates and deadlines then in force. As at the draft date, the principal monthly duties include:

Item	Current treatment used for planning
PAYE	Individual bands from 10% to 35%, less applicable deductions and relief; return and payment by the 9th of the following month
Affordable Housing Levy	1.5% employee deduction plus 1.5% employer contribution
SHA	2.75% employee deduction from gross salary, minimum KES 300
NSSF from February 2026	6% employee plus 6% employer, each capped at KES 6,480 per month under the Year 4 notice
Payslip and employment records	Required under the Employment Act and other applicable law

Director's fees, management fees, bonuses, allowances, personal bills, and benefits are not simpler substitutes for salary. They may be taxable employment income or related-party payments and require their own approval and tax treatment.

Until all five activation steps above are documented in one dated member decision or attached salary-activation record, Oark shall not pay salary, a director's fee, a management allowance, paid leave, or an employment benefit under any label.

6. SHA AND MEDICAL COVER

1. While Charles has no salaried income from Oark, he shall register and pay SHA in his personal capacity under the rules for a household whose income is not derived from salaried employment. He shall confirm his registration and current payment status by the Effective Date or before the first Company payment to him, whichever occurs first, and retain the SHA number or confirmation personally; Oark need record only that the check was completed.
2. As at the draft date, that contribution is annual, based on 2.75% of household income determined through means testing, with a minimum equivalent to KES 300 per month.
3. Charles may add qualifying beneficiaries, including a spouse and qualifying children or dependants, to the household cover under SHA rules.
4. Oark is not required by this policy to buy a private corporate medical policy.
5. Oark shall not pay Charles's personal SHA or private medical bill directly unless it is first classified and recorded as lawful remuneration, a dividend, a reimbursement of an Oark liability, or a director-current-account transaction.
6. If Oark later employs Charles for salary, Oark shall register as an SHA employer, deduct the salaried contribution, and remit it by the ninth day of the following month. Charles shall update SHA when his status changes.
7. Private medical cover may be reconsidered when cash flow supports it. No quotation or policy should be accepted merely to obtain a corporate label or a minimum group size that Oark does not need.

7. CASH REALITY AT CURRENT TURNOVER

These are planning estimates, not tax returns or guaranteed outcomes. They assume Oark qualifies for TOT at 1.5%, a cash dividend is lawful and qualifies for 5% final withholding, there is no VAT in the stated sales amount, and all figures are monthly.

Scenario	Estimated result
KES 150,000 sales, no operating costs: net dividend after TOT and dividend WHT	KES 140,363
KES 150,000 sales, KES 50,000 operating costs: net dividend after TOT and dividend WHT	KES 92,863
Sales needed for KES 150,000 net dividend, no operating costs	KES 160,299
Sales needed for KES 150,000 net dividend plus KES 50,000 operating costs	KES 211,061

Using the PAYE bands, deductions, relief, and NSSF cap in force on 24 July 2026, and assuming no other personal deduction or relief:

Salary scenario	Estimated result
Gross salary needed for about KES 150,000 net salary	KES 219,201
Oark's salary cost after employer NSSF and housing levy, before other costs or TOT	KES 228,969
Sales needed to fund that salary cost under TOT, with no other operating costs	KES 232,456
Sales needed to fund that salary cost plus KES 50,000 operating costs under TOT	KES 283,217

At KES 150,000 gross monthly sales, Oark cannot lawfully produce KES 150,000 of recurring personal net cash after tax and business costs. The immediate response is to verify any director-loan balance, reduce costs, use quarterly dividends only from actual profit, and increase gross sales. Changing the payment label cannot close the economic gap.

8. MINIMUM COMPLIANCE CALENDAR

Every transaction

1. Put customer receipts through Oark's account.
2. Issue or retain the required eTIMS or other lawful sales invoice.
3. Keep supplier evidence for Company expenses.
4. Label every payment to Charles by its true legal category.

Every month while on TOT

The first return period is determined by the effective iTax registration date. A return for a calendar month is due by the twentieth day of the following month.

1. Reconcile the processor, bank, refunds, and sales record once.
2. File and pay TOT by the twentieth day of the following month.
3. File no royalty statement, royalty invoice, royalty WHT, or Product nil statement.

Each quarter, only if cash and distributable profit permit

1. Complete one interim-dividend decision.
2. Pay the net dividend.
3. Remit withholding and retain the certificate within the statutory deadline.

Each year

1. Prepare the financial statements and records required for Oark.
2. Complete Oark's KRA return or confirmation required for income not fully dealt with under TOT.
3. Lodge the BRS annual return and maintain current member, director, beneficial-owner, charge, and registered-office records.
4. Complete Charles's personal tax return for income that must be declared.
5. Renew and pay personal SHA when due.

Only if payroll is activated

Add PAYE, SHA employer, NSSF, housing levy, payslip, leave, and employment-record tasks. If Oark has an active PAYE obligation but no employees, apply for lawful cancellation rather than choosing permanent monthly nil filing; continue nil filing until KRA confirms cancellation.

9. REVIEW TRIGGERS

This policy continues without a scheduled monthly or annual internal review. Review only when one of these events occurs:

1. expected annual turnover falls to KES 1,000,000 or below or rises above KES 25,000,000;
2. taxable supplies approach the VAT threshold or a mandatory VAT rule applies;
3. Oark begins earning management, professional, training, rental, final-withholding, or materially different income;
4. Charles or another person becomes an employee or is paid for services;
5. another contributor, director, member, investor, lender, or secured creditor is introduced;
6. Oark proposes to buy, sell, assign, or charge Product IP;
7. a director current account would become overdrawn;
8. Oark cannot pay debts, taxes, refunds, or customer obligations when due;
9. a regulator, KRA, adviser, court, creditor, customer, or provider challenges the structure; or
10. a relevant law or rate changes.

10. ADOPTION RECORD

This policy is adopted only when the final version is attached as Annex 2 to the signed Oark corporate approval record.

Final file name: ____

SHA-256 before signature: ____________________________________

Number of pages: ____

Initialled by sole Member and sole Director: ______________________

Adoption date: ____

Written zero-royalty/TOT tax confirmation reference, or `TOT NOT ACTIVE`: ______________________________

Personal non-salaried SHA status confirmed on: ____________________

Verified director-loan opening balance: KES ______________________

Director-loan evidence schedule reference: ______________________

If no evidence schedule is attached and referenced, the verified opening balance is deemed to be **KES 0**.